HSBC Global Investment Research

19 January 2026

Lithium

Surplus vanishing quickly

Equities
Metals & Mining

Global

- After a two-half year downturn, lithium prices are on the move
- Strong demand and supply disruptions are driving the rally; surplus from the market vanishing quickly
- Maintain Buy rating on SQM and Hold on LAC; upgrade ALB and LAR to Buy; revise TPs

Flying off the bat: Lithium carbonate (BG China) prices are up c180% from the trough on 23 June 2025. Spodumene prices are up c226%, also from trough levels on 23 June 2025. In *Lithium - A comeback or a false start?* (25 November 2025), we highlighted that risks are skewed to the upside with strength in demand and ongoing supply issues, but the pace of the rally has surprised us. Historically, a cycle in lithium prices has lasted for 5-6 years, with an upcycle and downcycle each lasting two to three years. The previous downcycle, which started in November 2022, appears to have ended in June 2025, and we have now entered an upcycle, in our view.

Surplus shrinking fast: In *Metals Quarterly Q1 2026 - Entering 2026 with a bang* (18 January 2026), we cut our surplus estimates for the forecast period. With demand growth outpacing supply growth, we expect the market to turn to a deficit in the medium term. As a result, we revised in the above report our 2026e-29e China BG lithium carbonate price forecasts by 12%-48% on expectations of a lower surplus. We highlight that 5% higher demand or 5% lower supply than we estimate would be enough to eliminate our 2026 surplus estimate.

Risks remain skewed to the upside: The announced timeline for cuts in the VAT rebate for battery exports should result in frontloading of battery shipments, resulting in higher demand, especially during 1H26. While we acknowledge risks of a slowdown in EV sales in China, the extension of trade-in subsidies should cushion the impact. Any kind of supply response to an increase in lithium prices (in the form of restarting the previously mothballed operations) will take time and need prices at elevated levels for a longer period.

Maintain Buy rating on SQM and Hold on LAC; upgrade ALB and LAR to Buy: We prefer SQM due to its operational excellence, strong balance sheet, and potential volume growth. We upgrade ALB and LAR to Buy on expectations of lithium prices remaining elevated as these two stocks show the highest sensitivity to increases in lithium prices (see sensitivity analysis in the respective company sections). In this report, we adjust our company estimates to reflect our new lithium price forecasts.

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Key changes to ratings and estimates

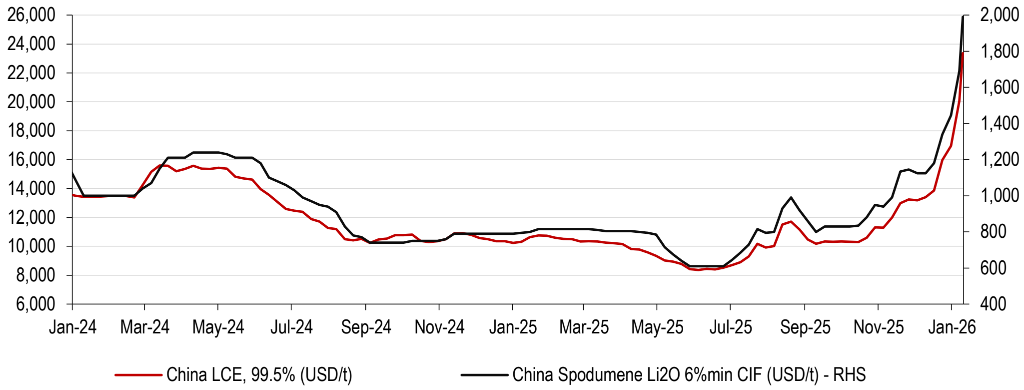
Company	Ticker	Currency	Current price	TP Old	TP New	Rating Old	Rating New	Upside/ downside	Market cap (USDm)	3m ADTV (USDm)	2025e EV/EBITDA	2026e EV/EBITDA	2026e PE
SQM	SQM US	USD	79.58	71.00	95.00	Buy	Buy	19.4%	24,450	92	17.9	10.3	20.8
Albemarle	ALB US	USD	173.78	117.00	200.00	**Hold**	**Buy**	15.1%	20,453	422	21.1	11.9	34.6
Lithium Americas	LAC US	USD	5.87	4.70	6.30	Hold	Hold	7.3%	1,846	116	nm	nm	nm
Lithium Argentina	LAR US	USD	8.29	4.75	9.60	**Hold**	**Buy**	15.8%	1,347	2	nm	23.5	nm

Source: HSBC estimates. Priced as of close of 15 Jan 2026

Lithium prices likely to remain strong

Lithium carbonate (BG China) prices are up c180% from the June trough, while spodumene prices are up c226% from trough levels. However, the trajectory has not been linear. Prices rallied in August on the back of expectations of supply disruptions in China. But the momentum faded as the supply issues dissipated. Lithium prices are rallying again, and this time the rally looks sustainable, in our view.

Lithium prices inching up again

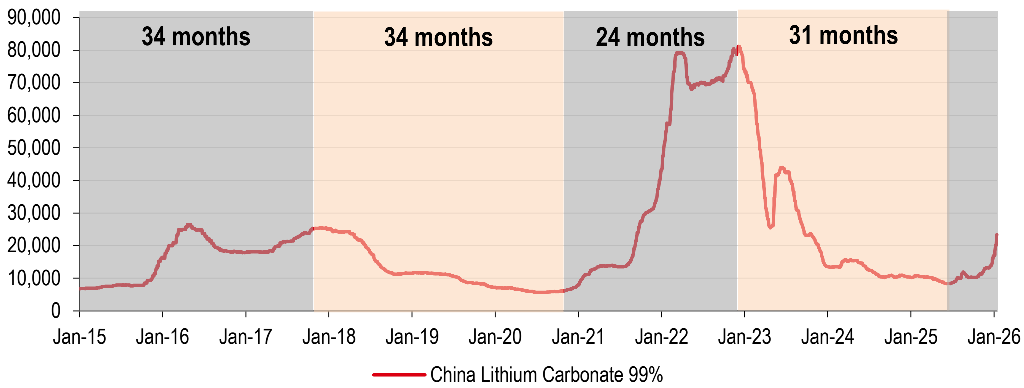


Source: Bloomberg, HSBC

We are not surprised with the rally, but the pace of the rally has certainly surprised us. In *Lithium - A comeback or a false start?* (25 November 2025), we had highlighted that risks appeared skewed to upside, with strength in demand and ongoing supply issues.

Historically, a cycle in lithium prices has lasted for 5-6 years, with an upcycle and downcycle each lasting two to three years. The previous downcycle, which started in November 2022, appears to have ended in June 2025, and we have now entered an upcycle, in our view.

Duration of cycles in lithium prices



Source: Bloomberg, HSBC

What is driving prices up and is the rally sustainable?

Lithium prices are rallying on the back of a surge in demand from ESS and destocking of chemical inventories. In China, more policies have been introduced that could boost returns for quality ESS products. On 27 November, the NDRC issued a revision to the methods for supervising and pricing of power transmission and distribution costs. We believe the policy should lead to good quality ESS products enjoying better pricing over lower-standard products In the US, the implementation of the FEOC requirements on ESS projects should lead to an installation rush in 2026. Global ESS battery shipments grew 98.5% y-o-y to 410.45GWh in 9M25, with record-high quarterly shipments of 170.24GWh in 3Q25, according to Infolink. HSBC analysts raised their 2026 and 2027 global ESS installation forecasts to 430GWh and 516GWh, respectively, from 401GWh and 487GWh. They expect the global deployment of AI data centers (AIDC) to contribute positively to ESS demand and AIDC to generate annual ESS demand of 25GWh in 2026, rising to 32GWh in 2035 (see *China Energy Storage - Gaining growth momentum*, 10 December 2025). As a result, we forecast LCE demand from ESS to grow c24% y-o-y in 2026e, and the share of ESS in total demand to grow from 19% in 2025e to 22% in 2026e.

BEVs enjoyed a reasonably strong 2025 in Europe and China. During November, EV demand outpaced overall auto demand in China. HSBC auto analysts believe there are likely signs of continuity of EV consumption support into 2026, which is evidenced by recent guidance from the Central Economic Work Conference. The extension of trade-in subsidies removes a key risk for 2026 EV sales in China. Following the proposed EU regulatory changes in December 2025, HSBC analysts lowered their 2035 penetration forecasts to reflect the removal of the combustion engine ban. There is a clear policy shift away from BEVs in the US – end of EV-credits, zeroing of CAFE fines, and proposed easing of EPA mileage targets (see *EV Global Roadmap*, 8 January 2026, and *China EV Tracker*, 16 December 2025).

China has announced it will roll back the VAT rebate on battery exports from 9% to 6% in April 2026 and eliminate the rebate completely in January 2027. Given China has the lion share of battery production, there could be a frontloading of battery shipments in order to realize the current 9% VAT rebate. Thus, we could see higher demand for lithium during 1H 2026.

On the supply side, the delay in the restart of CATL's mine is also tightening supply. We expect the mine to only start after Chinese New Year. However, any further delays will likely lead to increasing tightness in the market. Recently, the Jiangxi Yichun Natural Resources Bureau cancelled 27 mining rights. While we estimate minimal impact from the cancellations, these measures can be seen as steps taken by Chinese authorities to rationalize supply, in line with China's national push to combat internal competition. While we still expect lithium supply to grow at a decent pace over the next couple of years, we believe risks are skewed to the downside.

We expect lithium prices to remain elevated

The recent drawdown of inventories and expectations of relatively strong demand in 1H 2026, should keep the market tight and prices elevated.

HSBC base case – surplus is shrinking fast

Click *here* to request HSBC lithium supply and demand model

In *Metals Quarterly Q1 2026 – Entering 2026 with a bang* (18 January 2026), we cut our surplus estimates for the forecasted period to account for stronger demand and supply issues. We highlight that further delays in the start of CATL's mine and any other supply issues will likely tighten the market further. With demand growth outpacing supply growth, we expect the market to turn to a deficit in the medium term. As a result, we revised in the above report our 2026e-29e China BG lithium carbonate price forecast by 12%-48% on expectations of a lower surplus.

HSBC lithium S&D model

in LCE kt	2024	2025e	2026e	2027e	2028e	2029e	2030e	Change 2026-30e	CAGR 2026e-30e
Demand									
EVs	707	943	1,141	1,328	1,519	1,723	1,931	987	15%
Battery demand (ex-EV)	415	532	642	719	802	891	980	448	13%
Total battery demand	**1,122**	**1,475**	**1,783**	**2,047**	**2,321**	**2,614**	**2,910**	**1,435**	**15%**
y-o-y	*33%*	*31%*	*21%*	*15%*	*13%*	*13%*	*11%*		
Total non-battery demand	149	153	158	163	167	172	178	24	3%
y-o-y	*3%*	*3%*	*3%*	*3%*	*3%*	*3%*	*3%*		
Total demand	**1,271**	**1,628**	**1,940**	**2,210**	**2,488**	**2,786**	**3,088**	**1,460**	**14%**
y-o-y	*29%*	*28%*	*19%*	*14%*	*13%*	*12%*	*11%*		
Supply									
Total refined supply before recycling	1,277	1,694	1,966	2,196	2,364	2,504	2,588	894	9%
y-o-y	*38%*	*33%*	*16%*	*12%*	*8%*	*6%*	*3%*		
Recycling	51	68	88	122	170	208	253	185	30%
y-o-y	41%	34%	28%	40%	39%	23%	22%		
Total Refined supply	**1,328**	**1,762**	**2,053**	**2,319**	**2,534**	**2,712**	**2,841**	**1,079**	**10%**
y-o-y	*38%*	*33%*	*17%*	*13%*	*9%*	*7%*	*5%*		
Market balance									
Inventory changes	(85)	24	40	42	30	30	28		
Surplus / (deficit) post inventory changes	**141**	**110**	**73**	**67**	**16**	**(104)**	**(275)**		

Reproduced from *Metals Quarterly Q1 2026 – Entering 2026 with a bang*, 18 January 2026
Source: HSBC estimates, USGS, Wood Mackenzie

HSBC price forecasts

Price forecasts	2026e	2027e	2028e	2029e	2030e	LT (real)*
China BG lithium carbonate 99.5% (USD/kg)						
New	**17.4**	**16.0**	**17.0**	**19.0**	**20.0**	**18.0**
Old	11.8	12.0	14.5	17.0		18.0
New vs Old	48%	33%	17%	12%		0%

Note: *in 2025 USD terms. These changes to our forecasts made in *Metals Quarterly Q1 2026 – Entering 2026 with a bang*, 18 January 2026
Source: HSBC estimates.

We believe that 5% higher demand or 5% lower supply than we estimate would be enough to eliminate our 2026 surplus estimate

Our 2026 surplus forecast of 73kt LCE is based on a demand growth estimate of c19% y-o-y (or c312kt LCE). We acknowledge that our forecasts are more conservative than those of some market participants, who have forecast growth of 30-40% y-o-y. We believe that 5% higher demand or 5% lower supply than we estimate would be enough to eliminate our 2026 surplus estimate. Thus, we believe the risks to lithium prices are more skewed to the upside.

What could derail the rally?

- **Battery producers will have to navigate through rising raw material costs and the cut in export rebates**: We see this as a key risk to the rally in lithium prices. Not only are lithium, cobalt, and nickel prices increasing, but higher sulphur prices are resulting in a tighter iron phosphate market in China. Battery producers also need to manage the cut in export rebates, along with rising raw material costs. In the past few months, we have seen rising utilisation in the battery sector, after two years of disciplined capacity growth. The rebalancing of supply and demand has increased battery prices from trough levels. Rising demand and improving utilisation should help in passing on the increase, but a deceleration in demand could squeeze battery producers' margins and result in push back from battery producers to accept further lithium price increases.

- **Deceleration in demand**: The current rally is driven by strong battery shipments. For EVs, there was a frontloading of volumes in 2H25 as incentives in China were ending in 2025. The Secretary-General of the China Passenger Car Association has warned of a drop in domestic electric vehicle sales in early 2026 as tax incentives are phased out. While the extension of trade-in subsidies removes a key risk for 2026 EV sales in China, we do not rule out the possibility of a slowdown in EV sales. The reduction in the VAT rebate for battery exports from April 2026 will also likely result in frontloading of battery shipments during 1H26. A combined impact of both could result in slower demand during the second half of year.
- **Supply side response to higher lithium prices**: One of the key factors driving lithium prices is closure of CATL's mine and news about stricter lithium production controls in China. The restart of CATL's mine after CNY should help abate pressure from the supply side. During the downturn in 2024-25, Mineral Resources closed the Bald Hill plant and slashed production at Mt Marion by 24%, and Pilbara shut its Nuangagu plant. The restarts could add to supply, but not immediately as the process requires time. Furthermore, lithium prices would have to stay at elevated levels for longer period and appear stable for producers to make that decision. Thus, any supply response will likely not impact the market, even if announced, in the near term.

SQM (SQM US, CMP USD79.58) – maintain Buy; increase TP to USD95 (from USD71)

Investment thesis

We like SQM as we expect increased volumes, and given its strong balance sheet and quality assets. The ramp up of the Kwinana refinery in Australia and increased volumes in Chile should drive volume growth. The agreement with Codelco removes a key overhang. SQM's realised prices follow spot price movement closely. With SQM's relatively lower cost of production, the company should continue to generate decent cashflow.

Sensitivity to changes in lithium prices

Lithium prices are volatile, and the stock price shows a high degree of sensitivity to changes in lithium prices. SQM's realised prices follow the spot price movement closely as indicated by our sensitivity analysis in the following table.

Sensitivity to changes in lithium price assumptions

	2026e EBITDA	2027e EBITDA	NAV/shr	Change vs base case (%)		
	USDm	USDm	USD	2026e EBITDA	2027e EBITDA	NAV/shr
20% lower prices	2,117	2,159	76.00	-19%	-19%	-20%
10% lower prices	2,371	2,414	85.00	-10%	-10%	-11%
Base case	**2,624**	**2,669**	**95.00**			
10% higher prices	2,878	2,924	105.00	10%	10%	11%
20% higher prices	3,132	3,179	114.00	19%	19%	20%

Source: HSBC estimates

Changes to estimates

The increases in our estimates are primarily driven by the increases in our lithium price forecasts.

SQM: Our estimate changes, 2025-27e

USDm, except	New			Old			% change		
otherwise noted	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e
Revenue	4,544	6,210	6,335	4,514	4,854	5,280	1%	28%	20%
EBITDA	1,521	2,624	2,669	1,497	1,755	1,995	2%	50%	34%
margin (%)	33%	42%	42%	33%	36%	38%			
Net income	585	1093	1210	571	613	819	2%	78%	48%
EPS (USD)	2.05	3.83	4.23	2.00	2.15	2.87	2%	78%	48%

Source: HSBC estimates

SQM: Our estimates vs consensus, 2025-27e

USDm, except	HSBC			Cons.			% change		
otherwise noted	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e
Revenue	4,544	6,210	6,335	4,482	5,701	6,472	1%	9%	-2%
EBITDA	1,521	2,624	2,669	1,509	2,228	2,711	1%	18%	-2%
margin (%)	33%	42%	42%	34%	39%	42%			
Net income	585	1093	1210	634	1,166	1,454	-8%	-6%	-17%
EPS (USD)	2.05	3.83	4.23	2.19	4.33	5.44	-6%	-12%	-22%

Source: Bloomberg consensus forecasts, HSBC estimates

Valuation and risks

We value SQM using a sum-of-the-parts approach (see table below), assuming a WACC of 7.3% (from 7.8% due to lower country risk premium), based on a risk-free rate of 4.25%, country risk premium of 0.4% (from 1.2% as we remove 75bps premium, previously added to highlight the risks related to the Codelco agreement. With the finalisation of the agreement, we do not see the risk anymore), equity risk premium of 4.00%, levered beta of 1.1, and debt/equity of 30/70. We value the Chilean lithium, international lithium, and other businesses using NPV.

We increase our TP to USD95 (from USD71) based on upward revision in our estimates and lower WACC assumption. Our revised TP implies 19.4% upside, and we maintain our Buy rating on expectations of a re-rating post finalisation of the agreement with Codelco and expected volume growth.

Our TP for the local shares (SQM/B CI, CMP CLP71,230) of CLP84,070 (from CLP66,360) is based on one share per ADR and a spot USD-CLP FX of 885 (from 935).

Sum-of-the-parts approach (USDm)

	USDm
Lithium Chile Division	13,556
International Lithium Division	3,387
Other businesses	15,772
Corporate	(2,470)
EV	**30,245**
Net debt	3,081
Less: non-controlling stake	48
Equity value	**27,116**
No. of shares	286
Fair value/share (USD)	**95.00**

Source: HSBC estimates

Downside risks include extended downcycle affecting cash flows and dividends; ramp up issues in the Covalent lithium refinery project in Australia; material weakness in its other segments; potential policy changes that might change the lithium producing landscape in Chile; and any changes in the proposed agreement with Codelco or delay in finalisation of the agreement.

Financials & valuation: SQM

Buy

Financial statements

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Profit & loss summary (USDm)				
Revenue	4,529	4,544	6,210	6,335
EBITDA	1,483	1,521	2,624	2,669
Depreciation & amortisation	-342	-414	-434	-467
Operating profit/EBIT	1,141	1,107	2,190	2,202
Net interest	-94	-120	-154	-143
PBT	974	928	2,023	2,046
HSBC PBT	974	928	2,023	2,046
Taxation	-1,372	-316	-655	-662
Net profit	-404	585	1,093	1,210
HSBC net profit	-404	585	1,093	1,210
Cash flow summary (USDm)				
Cash flow from operations	1,275	904	1,351	1,657
Capex	-972	-900	-906	-907
Cash flow from investment	-1,214	-746	-906	-907
Dividends	-67	-5	-175	-328
Change in net debt	-34	-119	-270	-421
FCF equity	303	4	445	749
Balance sheet summary (USDm)				
Intangible fixed assets	169	164	164	164
Tangible fixed assets	4,941	5,346	5,818	6,258
Current assets	5,578	5,563	6,073	6,499
Cash & others	1,378	1,374	1,644	2,065
Total assets	11,496	11,926	12,908	13,775
Operating liabilities	1,098	1,105	1,162	1,140
Gross debt	4,848	4,725	4,725	4,725
Net debt	3,470	3,351	3,081	2,660
Shareholders' funds	5,161	5,672	6,590	7,472
Invested capital	8,213	8,594	9,249	9,717

Ratio, growth and per share analysis

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Y-o-y % change				
Revenue	-39.4	0.3	36.7	2.0
EBITDA	-53.4	2.5	72.6	1.7
Operating profit	-60.6	-3.0	97.9	0.5
PBT	-65.3	-4.7	118.0	1.1
HSBC EPS	-120.1		87.0	10.6
Ratios (%)				
Revenue/IC (x)	0.5	0.5	0.7	0.7
ROIC	-5.4	8.7	16.6	15.7
ROE	-7.6	10.8	17.8	17.2
ROA	-4.1	6.4	12.2	11.5
EBITDA margin	32.8	33.5	42.3	42.1
Operating profit margin	25.2	24.4	35.3	34.8
EBITDA/net interest (x)	15.8	12.6	17.0	18.7
Net debt/equity	66.8	58.6	46.4	35.3
Net debt/EBITDA (x)	2.3	2.2	1.2	1.0
CF from operations/net debt	36.7	27.0	43.9	62.3
Per share data (USD)				
EPS Rep (diluted)	-1.42	2.05	3.83	4.23
HSBC EPS (diluted)	-1.42	2.05	3.83	4.23
DPS	0.22	0.00	0.61	1.15
Book value	18.07	19.86	23.07	26.16

Valuation data

Year to	12/2024a	12/2025e	12/2026e	12/2027e
EV/sales	6.0	6.0	4.3	4.2
EV/EBITDA	18.5	17.9	10.3	9.9
EV/IC	3.3	3.2	2.9	2.7
PE*	nm	38.9	20.8	18.8
PB	4.4	4.0	3.4	3.0
FCF yield (%)	1.2	0.0	1.8	3.1
Dividend yield (%)	0.3	0.0	0.8	1.4

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a
GHG emission intensity*	93.2
Energy intensity*	214.9
CO_2 reduction policy	Yes
Social Indicators	**12/2024a**
Employee costs as % of revenues	9.7
Employee turnover (%)	17
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	8
Average board tenure (years)	n/a
Female board members (%)	12.5
Board members independence (%)	25

Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	79.58
Target price (USD)	95.00
RIC (Equity)	SQM.N
Bloomberg (Equity)	SQM US
Market cap (USDm)	24,450

Free float	34%
Sector	Agricultural Products
Country/Region	Chile
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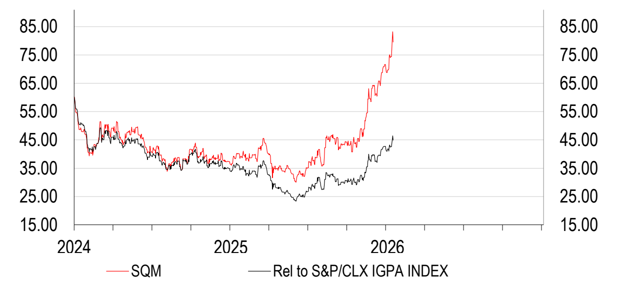
Price relative



Source: HSBC

Note: Priced at close of 15 Jan 2026

Albemarle (ALB US, CMP USD173.78) – upgrade to Buy (from Hold); increase TP to USD200 (from USD117)

Investment thesis

Albemarle's measures to cut capex, raise capital, sell non-core businesses, and foster efficiency are resulting in improved FCF generation and balance sheet. Albemarle benefits from the increase in lithium prices on its spot volumes. The rise in lithium prices should be helpful in contract negotiations when they are due for rollover in the next 18-24 months.

Sensitivity to changes in lithium prices

Lithium prices are volatile, and the stock price shows a high degree of sensitivity to changes in lithium prices. Approximately 50% of the company's volumes are on a contracted basis. However, it is the long-term outlook on prices that appears to drive volatility in the stock price, as indicated by our sensitivity analysis in the following table.

Sensitivity to changes in lithium price assumptions

	2026e EBITDA	2027e EBITDA	NAV/shr	Change vs base case (%)		
	USDm	USDm	USD	2026e EBITDA	2027e EBITDA	NAV/shr
20% lower prices	1,603	1,677	111.00	-18%	-14%	-45%
10% lower prices	1,774	1,815	155.00	-9%	-7%	-23%
Base case	**1,945**	**1,954**	**200.00**			
10% higher prices	2,116	2,093	245.00	9%	7%	23%
20% higher prices	2,287	2,232	290.00	18%	14%	45%

Source: HSBC estimates

Changes to estimates

The increase in our estimates is function of our higher lithium and spodumene price forecasts.

Albemarle: Our estimate changes, 2025-27e

USDm, except	New			Old			% change		
otherwise noted	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e
Revenue	5,050	6,206	6,322	5,118	5,504	5,823	-1%	13%	9%
Adjusted EBITDA	1,099	1,945	1,954	1,136	1,375	1,563	-3%	41%	25%
margin (%)	22%	31%	31%	22%	25%	27%			
Adj net income	(36)	592	728	(10)	190	452	nm	nm	61%
Adj EPS (USD)	(0.31)	5.03	6.19	(0.08)	1.61	3.84	nm	nm	61%

Source: HSBC estimates

Albemarle: Our estimates vs consensus, 2025-27e

USDm, except	HSBC			Cons.			% change		
otherwise noted	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e
Revenue	5,050	6,206	6,322	5,061	5,386	5,941	0%	15%	6%
EBITDA	1,099	1,945	1,954	1,062	1,414	1,872	4%	38%	4%
margin (%)	22%	31%	31%	21%	26%	32%			
Net income	(36)	592	728	(67)	294	704	nm	101%	3%
Adj EPS (USD)	(0.31)	5.03	6.19	(8.12)	2.40	6.04	nm	110%	2%

Source: Bloomberg consensus forecasts, HSBC estimates

Valuation and risks

We value Albemarle using DCF methodology, assuming a WACC of 7.8% (from 8.0% due to change in debt to value ratio) based on a risk-free rate of 4.25%, equity risk premium of 4.00%, country risk premium of 0.5%, levered beta of 1.25, and debt/value ratio of 33/66 (from 30/70). The increase in our target price to USD200 (from USD117) is a function of our higher estimates. Our new TP implies 15.1% upside and we upgrade Albemarle to Buy (from Hold) on the back of improving efficiency and higher gearing to rising lithium prices.

Downside risks include delays or unforeseen expenses related to capacity expansion; unexpected production cuts due to inventory pileups and weak demand and pricing; and weakness in other segments.

Financials & valuation: Albemarle Corporation

Buy

Financial statements

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Profit & loss summary (USDm)				
Revenue	5,378	5,050	6,206	6,322
EBITDA	1,140	1,099	1,945	1,954
Depreciation & amortisation	-589	-656	-645	-642
Operating profit/EBIT	-1,777	-128	581	696
Net interest	-166	-201	-205	-205
PBT	-1,048	-24	914	957
HSBC PBT	-1,048	-24	914	957
Taxation	-87	9	-105	-138
Net profit	-1,316	-227	592	728
HSBC net profit	-275	-36	592	728
Cash flow summary (USDm)				
Cash flow from operations	702	970	1,020	1,336
Capex	-1,686	-604	-600	-612
Cash flow from investment	-1,574	-139	-600	-612
Dividends	-189	-191	-193	-193
Change in net debt	-959	-438	-30	-449
FCF equity	-984	366	420	724
Balance sheet summary (USDm)				
Intangible fixed assets	1,813	1,721	1,721	1,721
Tangible fixed assets	9,331	9,231	9,186	9,156
Current assets	3,842	4,426	4,737	5,185
Cash & others	1,192	1,739	1,769	2,218
Total assets	16,610	17,063	17,598	18,179
Operating liabilities	2,474	2,750	2,867	2,904
Gross debt	3,516	3,626	3,626	3,626
Net debt	2,934	2,496	2,466	2,017
Shareholders' funds	9,962	9,943	10,341	10,876
Invested capital	11,320	10,888	11,008	10,940

Ratio, growth and per share analysis

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Y-o-y % change				
Revenue	-44.1	-6.1	22.9	1.9
EBITDA	-67.9	-3.5	76.9	0.5
Operating profit	-805.3			19.8
PBT	-149.9			4.8
HSBC EPS	-115.4			23.0
Ratios (%)				
Revenue/IC (x)	0.5	0.5	0.6	0.6
ROIC	5.1	2.5	10.5	10.2
ROE	-2.8	-0.4	5.8	6.9
ROA	-5.5	0.7	5.7	5.6
EBITDA margin	21.2	21.8	31.3	30.9
Operating profit margin	-33.0	-2.5	9.4	11.0
EBITDA/net interest (x)	6.9	5.5	9.5	9.5
Net debt/equity	28.8	24.4	23.2	18.0
Net debt/EBITDA (x)	2.6	2.3	1.3	1.0
CF from operations/net debt	23.9	38.9	41.4	66.2
Per share data (USD)				
EPS Rep (diluted)	-11.20	-1.93	5.03	6.19
HSBC EPS (diluted)	-2.34	-0.31	5.03	6.19
DPS	1.62	1.64	1.64	1.64
Book value	84.77	84.50	87.87	92.42

Valuation data

Year to	12/2024a	12/2025e	12/2026e	12/2027e
EV/sales	4.4	4.6	3.7	3.6
EV/EBITDA	20.7	21.1	11.9	11.7
EV/IC	2.1	2.1	2.1	2.1
PE*	nm	nm	34.6	28.1
PB	2.1	2.1	2.0	1.9
FCF yield (%)	-4.8	1.8	2.1	3.5
Dividend yield (%)	0.9	0.9	0.9	0.9

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a
GHG emission intensity*	228.7
Energy intensity*	898.8
CO_2 reduction policy	Yes
Social Indicators	**12/2024a**
Employee costs as % of revenues	n/a
Employee turnover (%)	20
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	10
Average board tenure (years)	n/a
Female board members (%)	30
Board members independence (%)	90

Source: Company data, HSBC

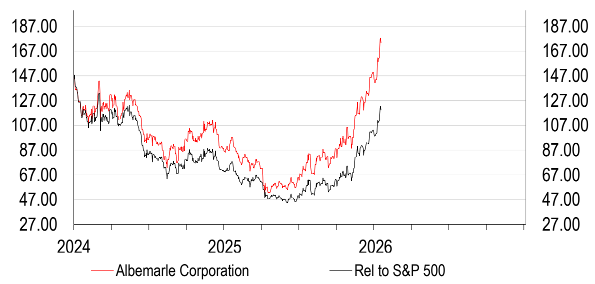
* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	173.78
Target price (USD)	200.00
RIC (Equity)	ALB.N
Bloomberg (Equity)	ALB US
Market cap (USDm)	20,453

Free float	100%
Sector	Chemicals
Country/Region	United States
Analyst	Ishan Jain
Contact	+91 80 4550 3767

Price relative



Source: HSBC

Note: Priced at close of 15 Jan 2026

Lithium Americas (LAC US, CMP USD5.87) – maintain Hold; increase TP to USD6.30 (from USD4.70)

Investment thesis

Lithium Americas has secured financing for the Thacker Pass project, mitigating liquidity risk. That said, we believe the company is still far from its first production and highlight risks arising in the case of capex overruns and delays during the start of the project.

Sensitivity to changes in lithium prices and WACC

Lithium prices are volatile, and the stock price shows a high degree of sensitivity to changes in lithium prices. Our sensitivity analysis showing the impact of changes in our lithium price assumptions during the forecasted period (including long-term prices) and WACC on NAV is shown in the following table.

Sensitivity of NAV/share to changes in lithium prices and WACC assumptions

Change in lithium price assumptions	WACC assumptions 7.8%	8.3%	**8.8%**	9.3%	9.8%
20% lower prices	4.95	4.20	3.55	3.00	2.55
10% lower prices	6.70	5.70	4.90	4.25	3.70
Base case	8.40	7.25	**6.30**	5.50	4.80
10% higher prices	10.15	8.80	7.70	6.75	5.95
20% higher prices	11.85	10.30	9.05	8.00	7.10

Source: HSBC estimates

Changes to estimates

We incorporate changes in our lithium price forecasts in our estimates.

Lithium Americas: Our estimate changes, 2025-27e

USDm, except otherwise noted	New			Old			% change		
	2025e	**2026e**	**2027e**	**2025e**	**2026e**	**2027e**	**2025e**	**2026e**	**2027e**
Revenue	-	-	34	-	-	30	nm	nm	nm
EBITDA	(29)	(29)	(6)	(29)	(29)	(11)	nm	nm	nm
Net Income	(233)	(24)	(12)	(233)	(24)	(15)	nm	nm	nm
EPS (USD)	(0.94)	(0.08)	(0.04)	(0.94)	(0.08)	(0.05)	nm	nm	nm

Source: HSBC estimates

Valuation and risks

We use an NPV-based valuation approach to value Lithium Americas. We assume an average WACC of 8.8% based on a risk-free rate of 4.25%, equity risk premium of 4.00%, and unleveraged beta of 1.25 (all unchanged).

We increase our TP to USD6.30 (from USD4.70) on higher estimates. Our new TP implies 7.3% upside and we maintain our Hold rating due reduced uncertainty with financing secured for the Tacker Pass project.

Downside risks include execution risk that would delay or result in lower-than-expected production and/or cost overruns; lower than-expected prices affecting economics adversely; and macro slowdown resulting in reduced EV sales that could lower demand for lithium.

Upside risks include faster-than-expected execution; higher-than expected battery pricing; and higher-than-expected lithium price.

Financials & valuation: Lithium Americas Corp

Hold

Financial statements

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Profit & loss summary (USDm)				
Revenue	0	0	0	34
EBITDA	-27	-29	-29	-6
Depreciation & amortisation	-1	0	0	-4
Operating profit/EBIT	-28	-29	-29	-10
Net interest	0	0	-10	-10
PBT	-43	-233	-39	-20
HSBC PBT	-43	-233	-39	-20
Taxation	0	0	0	0
Net profit	-43	-233	-24	-12
HSBC net profit	-43	-233	-24	-12
Cash flow summary (USDm)				
Cash flow from operations	-13	-40	-39	-20
Capex	-178	-725	-1,305	-515
Cash flow from investment	-178	-725	-1,185	-375
Dividends	0	0	0	0
Change in net debt	-377	470	1,344	535
FCF equity	-191	-765	-1,344	-535
Balance sheet summary (USDm)				
Intangible fixed assets	0	0	0	0
Tangible fixed assets	399	1,124	2,429	2,940
Current assets	602	948	724	872
Cash & others	594	946	722	862
Total assets	1,045	2,117	3,198	3,857
Operating liabilities	77	97	97	101
Gross debt	23	844	1,964	2,639
Net debt	-571	-102	1,242	1,777
Shareholders' funds	635	755	731	718
Invested capital	330	1,029	2,334	2,849

Ratio, growth and per share analysis

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Y-o-y % change				
Revenue				
EBITDA				
Operating profit				
PBT				
HSBC EPS				
Ratios (%)				
ROIC	-11.0	-4.2	-1.7	-0.4
Keu	8.8	8.8	8.8	8.8
EV/IC (x)	3.8	1.7	1.3	1.3
ROIC/Keu (x)	-1.2	-0.5	-0.2	-0.0
REP (x)				
ROE	-8.2	-33.5	-3.2	-1.7
EBITDA margin	0.0	0.0	0.0	-18.3
Operating profit margin	0.0	0.0	0.0	-30.1
Net debt/equity	-60.4	-8.7	109.3	159.2
Net debt/EBITDA (x)	20.9	3.5	-42.7	-285.4
Per share data (USD)				
EPS Rep (diluted)	-0.21	-0.94	-0.08	-0.04
HSBC EPS	-0.21	-0.94	-0.08	-0.04
CFPS	-0.06	-0.16	-0.12	-0.06
DPS	0.00	0.00	0.00	0.00

Valuation data

Year to	12/2024a	12/2025e	12/2026e	12/2027e
EV/EBITDA	nm	nm	nm	nm
PE*	nm	nm	nm	nm
P/CFPS				
P/FCF equity	-9.7	-2.4	-1.4	-3.4
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a
GHG emission intensity*	n/a
Energy intensity*	n/a
CO_2 reduction policy	Yes
Social Indicators	**12/2024a**
Employee costs as % of revenues	n/a
Employee turnover (%)	n/a
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	8
Average board tenure (years)	n/a
Female board members (%)	25
Board members independence (%)	62.5

Source: Company data, HSBC

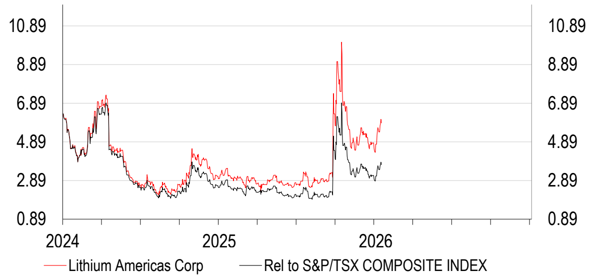
* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	5.87
Target price (USD)	6.30
RIC (Equity)	LAC.N
Bloomberg (Equity)	LAC US
Market cap (USDm)	1,846

Free float	86%
Sector	Metals & Mining
Country/Region	Canada
Analyst	Ishan Jain
Contact	+91 80 4550 3767

Price relative



Source: HSBC

Note: Priced at close of 15 Jan 2026

Lithium Argentina (LAR US, CMP USD8.29) – upgrade to Buy (from Hold); increase TP to USD9.60 (from USD4.75)

Investment thesis

The continuous improvement in production at Cauchari Olaroz indicates operational stability – 4Q25 production of 9.7kt LCE implies utilization of c97%. Lithium Argentina also expects to bring 4Q25 cash operating cost below USD6,000/t LCE. In December, Cauchari-Olaroz submitted environmental permit and RIGI applications for a Stage 2 expansion of 45ktpa LCE production capacity, and the company expects to submit the RIGI application for the Pozuelos-Pastos Grandes ("PPG") project in 1Q26. Both projects are coming closer to reality and provide growth optionality.

Sensitivity to changes in lithium prices and WACC

Lithium prices are volatile, and the stock price shows a high degree of sensitivity to changes in lithium prices. Our sensitivity analysis showing the impact of changes in our lithium price assumptions during the forecasted period (including long-term prices) and WACC on NAV is shown in the following table.

Sensitivity of NAV/shr to changes in lithium prices and WACC assumptions

Change in lithium price assumptions	WACC assumptions				
	10.1%	10.6%	11.1%	11.6%	12.1%
20% lower prices	6.45	5.75	5.10	4.55	4.10
10% lower prices	9.05	8.15	7.35	6.70	6.05
Base case	11.65	10.60	**9.60**	8.80	8.05
10% higher prices	14.30	13.00	11.90	10.90	10.00
20% higher prices	16.90	15.40	14.15	13.00	12.00

Source: HSBC estimates

Changes to estimates

The changes to our estimates incorporate our revised lithium price forecasts and increased production estimates to reflect higher utilisation rates.

Lithium Argentina: Our estimate changes, 2025-27e

USDm, except otherwise noted	New			Old			% change		
	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e
Revenue	-	-	-	-	-	-	nm	nm	nm
EBITDA	(90)	54	40	(90)	(11)	(10)	nm	nm	nm
Net Income	(76)	61	51	(76)	14	15	nm	nm	nm
EPS (USD)	(0.47)	0.38	0.31	(0.47)	0.08	0.09	nm	nm	nm

Source: HSBC estimates

Valuation and risks

We use an NPV-based valuation approach that assumes a WACC of 11.1% (from 11.5%) based on a risk-free rate of 4.25%, equity risk premium of 4.00%, country risk premium of 3.4% (from 3.5%) due to a change in Argentina CDS to 6.7% (from 7.0%), and unleveraged beta of 1.2. We no longer include an additional premium of 50bp as we do not see risk of recapitalisation. We also include the PPG project NPV (derived using same WACC and other assumptions) in our valuation.

We increase our target price to USD9.60 (from USD4.75), which implies 15.8% upside and we upgrade Lithium Argentina to Buy (from Hold) due to growth optionality and potential volatility in lithium prices that skews risk-reward to upside.

Downside risks include production issues leading to suboptimal product quality at Cauchari Olaroz; execution risk that would delay or result in lower than-expected production and/or cost overruns; lower-than-expected prices affecting economics adversely; macro slowdown resulting in reduced EV sales that could lower demand for lithium; and capital escalation and execution risks at the PPG project.

Financials & valuation: Lithium Argentina AG

Buy

Financial statements

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Profit & loss summary (USDm)				
Revenue	0	0	0	0
EBITDA	-60	-90	54	40
Depreciation & amortisation	0	0	0	0
Operating profit/EBIT	-60	-90	54	40
Net interest	27	17	30	29
PBT	-26	-76	84	69
HSBC PBT	-26	-76	84	69
Taxation	11	0	-23	-19
Net profit	-15	-76	61	51
HSBC net profit	-15	-76	61	51
Cash flow summary (USDm)				
Cash flow from operations	-22	-23	-8	-5
Capex	0	0	0	0
Cash flow from investment	0	0	0	0
Dividends	0	0	0	0
Change in net debt	45	23	8	5
FCF equity	-22	-23	-8	-5
Balance sheet summary (USDm)				
Intangible fixed assets	0	0	0	0
Tangible fixed assets	353	353	353	353
Current assets	117	95	87	82
Cash & others	86	63	55	50
Total assets	1,131	1,055	1,116	1,167
Operating liabilities	30	30	30	30
Gross debt	211	211	211	211
Net debt	125	148	156	161
Shareholders' funds	828	752	813	864
Invested capital	355	355	355	355

Ratio, growth and per share analysis

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Y-o-y % change				
Revenue				
EBITDA				-25.6
Operating profit				-25.6
PBT	-192.0			-17.4
HSBC EPS	-186.7			-17.4
Ratios (%)				
ROIC	-10.1	-25.4	11.1	8.3
Keu	11.1	11.1	11.1	11.1
EV/IC (x)	3.5	3.8	3.6	3.4
ROIC/Keu (x)	-0.9	-2.3	1.0	0.7
REP (x)			3.6	4.6
ROE	-1.8	-9.7	7.8	6.0
EBITDA margin	0.0	0.0	0.0	0.0
Operating profit margin	0.0	0.0	0.0	0.0
Net debt/equity	14.1	18.2	17.8	17.4
Net debt/EBITDA (x)	-2.1	-1.6	2.9	4.0
Per share data (USD)				
EPS Rep (diluted)	-0.09	-0.47	0.38	0.31
HSBC EPS	-0.09	-0.47	0.38	0.31
CFPS	-0.14	-0.14	-0.05	-0.03
DPS	0.00	0.00	0.00	0.00

Valuation data

Year to	12/2024a	12/2025e	12/2026e	12/2027e
EV/EBITDA	nm	nm	23.5	30.4
PE*	nm	nm	21.9	26.5
P/CFPS				
P/FCF equity	-61.7	-58.9	-171.1	-265.8
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a
GHG emission intensity*	n/a
Energy intensity*	n/a
CO_2 reduction policy	Yes
Social Indicators	**12/2024a**
Employee costs as % of revenues	n/a
Employee turnover (%)	21.1
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	8
Average board tenure (years)	n/a
Female board members (%)	12.5
Board members independence (%)	62.5

Source: Company data, HSBC

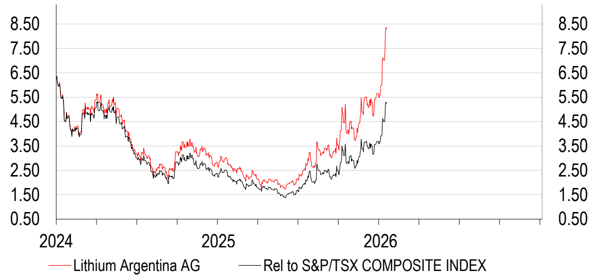
* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	8.29
Target price (USD)	9.60
RIC (Equity)	LAR.N
Bloomberg (Equity)	LAR US
Market cap (USDm)	1,347

Free float	87%
Sector	Metals & Mining
Country/Region	Canada
Analyst	Ishan Jain
Contact	+91 80 4550 3767

Price relative



Source: HSBC

Note: Priced at close of 15 Jan 2026

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Ishan Jain, Jonathan Brandt, CFA, Howard Lau, CFA, Shilan Modi, CFA, Sriharsha Pappu and Gustavo Hwang

Important disclosures

Equities: Stock ratings and basis for financial analysis

HSBC and its affiliates, including the issuer of this report (“HSBC”) believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst’s assessment of the stock’s actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC’s rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock’s domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 31 December 2025, the distribution of all independent ratings published by HSBC is as follows:

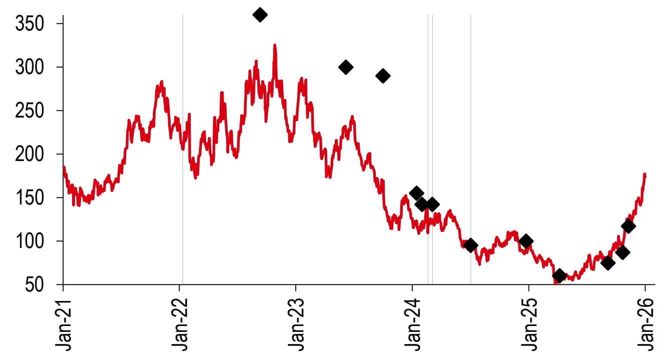
Buy	57%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	37%	(13% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(5% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at *http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures*.

Share price and rating changes for long-term investment opportunities

Albemarle Corporation (ALB.N) share price performance USD Vs HSBC rating history



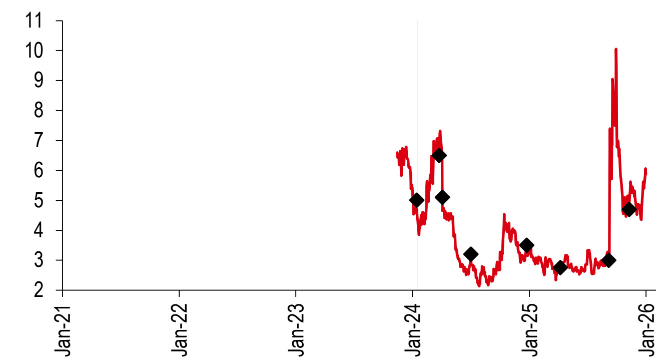
Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	26 Jan 2022	Santhosh Seshadri, CFA
Buy	Restricted	05 Mar 2024	
Restricted	Buy	19 Mar 2024	Santhosh Seshadri, CFA
Buy	Hold	17 Jul 2024	Santhosh Seshadri, CFA
Target price	**Value**	**Date**	**Analyst**
Price 1	360.00	26 Sep 2022	Santhosh Seshadri, CFA
Price 2	300.00	22 Jun 2023	Santhosh Seshadri, CFA
Price 3	290.00	16 Oct 2023	Santhosh Seshadri, CFA
Price 4	155.00	29 Jan 2024	Santhosh Seshadri, CFA
Price 5	142.00	15 Feb 2024	Santhosh Seshadri, CFA
Price 6	Restricted	05 Mar 2024	
Price 7	142.00	19 Mar 2024	Santhosh Seshadri, CFA
Price 8	95.00	17 Jul 2024	Santhosh Seshadri, CFA
Price 9	100.00	07 Jan 2025	Santhosh Seshadri, CFA
Price 10	60.00	22 Apr 2025	Santhosh Seshadri, CFA
Price 11	75.00	21 Sep 2025	Sriharsha Pappu
Price 12	87.00	06 Nov 2025	Ishan Jain
Price 13	117.00	24 Nov 2025	Ishan Jain

Source: HSBC

Lithium Americas Corp (LAC.N) share price performance USD Vs HSBC rating history



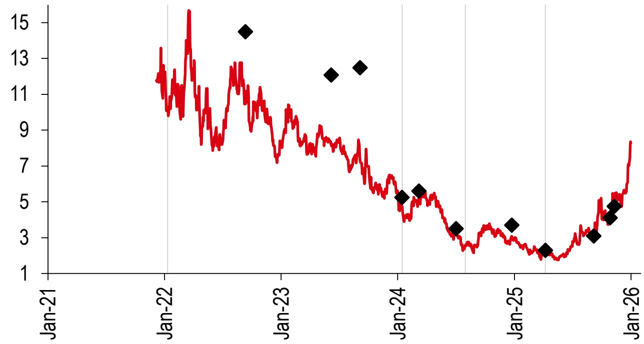
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Hold	29 Jan 2024	Santhosh Seshadri, CFA
Target price	**Value**	**Date**	**Analyst**
Price 1	5.00	29 Jan 2024	Santhosh Seshadri, CFA
Price 2	6.50	08 Apr 2024	Santhosh Seshadri, CFA
Price 3	5.10	18 Apr 2024	Santhosh Seshadri, CFA
Price 4	3.20	17 Jul 2024	Santhosh Seshadri, CFA
Price 5	3.50	07 Jan 2025	Santhosh Seshadri, CFA
Price 6	2.75	22 Apr 2025	Santhosh Seshadri, CFA
Price 7	3.00	21 Sep 2025	Sriharsha Pappu
Price 8	4.70	24 Nov 2025	Ishan Jain

Source: HSBC

Lithium Argentina AG (LAR.N) share price performance USD Vs HSBC rating history



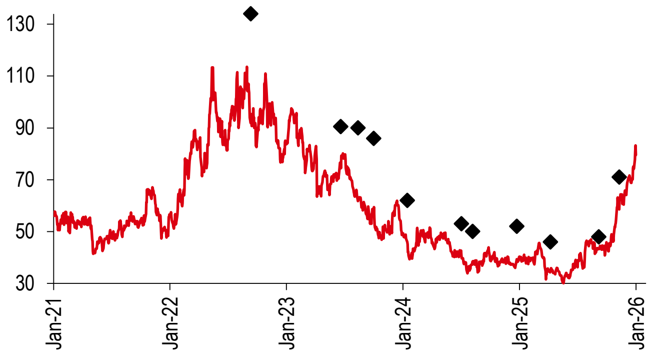
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	26 Jan 2022	Santhosh Seshadri, CFA
Buy	Hold	29 Jan 2024	Santhosh Seshadri, CFA
Hold	Buy	14 Aug 2024	Santhosh Seshadri, CFA
Buy	Hold	22 Apr 2025	Santhosh Seshadri, CFA
Target price	**Value**	**Date**	**Analyst**
Price 1	14.49	26 Sep 2022	Santhosh Seshadri, CFA
Price 2	12.08	22 Jun 2023	Santhosh Seshadri, CFA
Price 3	12.48	20 Sep 2023	Santhosh Seshadri, CFA
Price 4	5.25	29 Jan 2024	Santhosh Seshadri, CFA
Price 5	5.60	22 Mar 2024	Santhosh Seshadri, CFA
Price 6	3.50	17 Jul 2024	Santhosh Seshadri, CFA
Price 7	3.70	07 Jan 2025	Santhosh Seshadri, CFA
Price 8	2.30	22 Apr 2025	Santhosh Seshadri, CFA
Price 9	3.10	21 Sep 2025	Sriharsha Pappu
Price 10	4.10	11 Nov 2025	Ishan Jain
Price 11	4.75	24 Nov 2025	Ishan Jain

Source: HSBC

SQM (SQM.N) share price performance USD Vs HSBC rating history



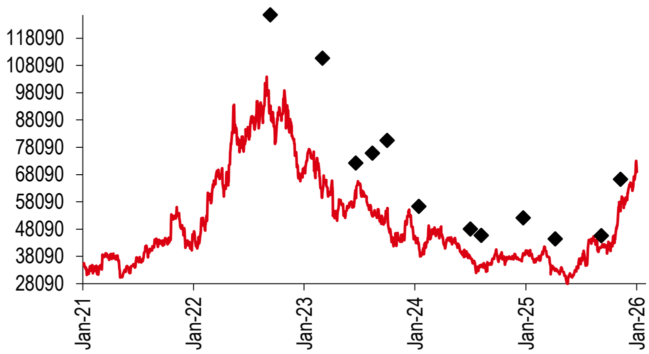
Source: HSBC

Rating & target price history

From	To	Date	Analyst
Reduce	Buy	20 Oct 2020	Alexandre Falcao
Target price	**Value**	**Date**	**Analyst**
Price 1	134.00	26 Sep 2022	Santhosh Seshadri, CFA
Price 2	90.50	05 Jul 2023	Santhosh Seshadri, CFA
Price 3	90.00	28 Aug 2023	Santhosh Seshadri, CFA
Price 4	86.00	16 Oct 2023	Santhosh Seshadri, CFA
Price 5	62.00	29 Jan 2024	Santhosh Seshadri, CFA
Price 6	53.00	17 Jul 2024	Santhosh Seshadri, CFA
Price 7	50.00	21 Aug 2024	Santhosh Seshadri, CFA
Price 8	52.00	07 Jan 2025	Santhosh Seshadri, CFA
Price 9	46.00	22 Apr 2025	Santhosh Seshadri, CFA
Price 10	48.00	21 Sep 2025	Sriharsha Pappu
Price 11	71.00	24 Nov 2025	Ishan Jain

Source: HSBC

SQM (SQM_pb.SN) share price performance CLP Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Reduce	Buy	20 Oct 2020	Alexandre Falcao
Target price	**Value**	**Date**	**Analyst**
Price 1	126590	26 Sep 2022	Santhosh Seshadri, CFA
Price 2	110738	17 Mar 2023	Santhosh Seshadri, CFA
Price 3	72340	05 Jul 2023	Santhosh Seshadri, CFA
Price 4	75912	28 Aug 2023	Santhosh Seshadri, CFA
Price 5	80550	16 Oct 2023	Santhosh Seshadri, CFA
Price 6	56480	29 Jan 2024	Santhosh Seshadri, CFA
Price 7	48134	17 Jul 2024	Santhosh Seshadri, CFA
Price 8	45787	21 Aug 2024	Santhosh Seshadri, CFA
Price 9	52265	07 Jan 2025	Santhosh Seshadri, CFA
Price 10	44480	22 Apr 2025	Santhosh Seshadri, CFA
Price 11	45700	21 Sep 2025	Sriharsha Pappu
Price 12	66360	24 Nov 2025	Ishan Jain

Source: HSBC

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ALBEMARLE CORPORATION	ALB.N	173.78	15 Jan 2026	7
LITHIUM AMERICAS CORP	LAC.N	5.87	15 Jan 2026	–
LITHIUM ARGENTINA AG	LAR.N	8.29	15 Jan 2026	–
SQM	SQM.N	79.58	15 Jan 2026	7

Source: HSBC

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